

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

Commit to an answer. You found the root cause yourself (input costs up about 38% across the board, prices flat for two years) but never turned it into a recommendation. Practice ending every analysis with one 'so-what' sentence and closing the case answer-first: 'I recommend X, because A and B; the key risk is C, which we'd test by D.' Also sanity-check dollar figures out loud: 16% of \$480M is about \$77M, not \$7.68M.

Rubric Scores

Problem Structuring

needs work

What needs work

The candidate offered a recognizable revenue-vs-costs split and asked targeted questions on price and cost lines, but the framework stayed a generic three-bucket template with no sub-points (no volume × price, no COGS/labor/overhead split) and no restated objective.

"I'd want to look at three big areas. First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe external stuff, like competitors or the market overall."

"Sorry, that's pretty broad. Am I on the right track?"

"Do we know if the price per cup changed over the two years?"

"And do we have the cost breakdown — like what the main cost lines are?"

Asked twice which branch to prioritize, the candidate never named one or stated a hypothesis, and deflected into clarifying questions instead.

"Can I ask first — when you say revenue grew 15%, is that total chain revenue or per store?"

Missed opportunities

Opening (turn 2): margin fell from 24% to 6% while revenue grew 15%.

A great answer: "The goal is to find why margin fell 18 points despite 15% revenue growth, and how to reverse it. Profit is revenue minus costs. On revenue I'd split volume (traffic, stores) from price and mix. On costs I'd look at COGS, labor, and overhead/rent as a share of revenue. Then I'd check whether peers face the same pressure. Since revenue grew, my hypothesis is a cost-side problem, likely COGS from commodity inputs, with prices not keeping pace. I'd start there."

Interviewer (turn 3): 'Pick the branch you'd prioritize first, and why?'

A great answer: "I'd start with costs. Revenue is up 15%, so the margin collapse almost has to come from costs growing faster than sales. I'd want each cost line as a share of revenue, then and now."

Quantitative & Analytical Rigor

adequate

What went well

The bean-vs-other-inputs decomposition was correctly set up with nested percentages, narrated step by step, and sanity-checked against the 16-point COGS move.

"So beans were about 10.5% of revenue, up 40%, so that's about 4.2 points."

"The other 75% of COGS is about 31.5% of revenue, up 37.5%, so roughly 11.8 points. Together about 16 points, which matches the move."

The candidate caught a flawed shortcut on transaction growth and corrected the method.

"Um, I just subtracted — 15 minus 10 is 5. I think it should really be dividing, like 1.15 over 1.10, but that's close to 5% anyway."

What needs work

The dollar sizing was off by a factor of ten and never corrected: 16% of \$480M is \$76.8M, not \$7.68M. Framing 16 points × current revenue as the margin impact was valid, but the number would badly understate the problem to a CEO.

"In dollars, 16% of \$480M... that's \$7.68M of extra cost."

"16% of \$480M, so \$7.68M of cost that wasn't there before."

The candidate started the core COGS-vs-margin comparison only after the interviewer supplied the figures and narrowed the question, and did not lay out the equation up front.

"I'm stuck, sorry. Can you point me where to start?"

After correct math, the candidate stopped short of the business implication and never sized a price lever.

"Hmm, I'm not sure what that means for them though."

Missed opportunities

Turn 18: converting the 16-point COGS increase into dollars.

A great answer: "16% of \$480M is about \$77M a year of margin lost to COGS. Sanity check: 10% of \$480M is \$48M, plus 6% is about \$29M, so roughly \$77M. That's the size of the hole we need to close."

Turn 28: after showing inputs rose about 37–40% across the board.

A great answer: "So this is broad input inflation with zero price response. If costs stay at 94% of revenue, a 10% price increase with no volume loss would lift margin from 6% to about 14.5% ($1 - 0.94/1.10$). Pricing is the biggest single lever, so I'd test elasticity next."

Data & Exhibit Interpretation

adequate

What went well

The candidate asked what sits inside COGS, then tested whether beans alone explained the move, finding they don't. Many candidates stop at beans.

"I'd want a split of the COGS line — like how much is coffee beans versus milk versus cups and packaging, and whether any one input's price spiked."

"So it's basically all input costs across the board, not just beans."

What needs work

The candidate correctly isolated COGS as the line that moved. However, the first read of the exhibit was a vague restatement that glossed over overhead's 2-point rise, and the candidate showed COGS explains 16 of the 18 margin points only after the interviewer supplied the figures.

"hmm, okay. So COGS went up and the others kind of stayed flat."

"I don't really know where to start. Sorry."

"58 minus 42 is 16 points. And margin fell 24 to 6, which is 18 points. So COGS explains most of it."

The candidate did not state the so-what of the exhibit: broad input inflation with flat prices points straight to pricing and procurement.

"Hmm, I'm not sure what that means for them though."

Missed opportunities

Turn 12: the cost-structure exhibit is first shown.

A great answer: "Margin fell 18 points. COGS went from 42% to 58%, so 16 points. Labor is flat at 22%, and overhead went from 12% to 14%, so the other 2. COGS is the story. Next I'd break COGS into beans, dairy, packaging, and food, and test whether the bean spike alone can explain 16 points."

Business Judgment & Insight

adequate

What went well

The candidate proposed a practical controlled price test with a sensible metric.

"Um, pick a set of stores and raise prices there, and compare to stores that didn't. See if transactions drop."

What needs work

The candidate's first inference from traffic growth overreached and had to be corrected. After that, the candidate made a sound commercial point: growing traffic says nothing about price sensitivity when prices have never moved.

"So traffic's still growing, which... maybe means customers aren't that price-sensitive right now?"

"And no, I guess growing traffic doesn't actually tell us about price sensitivity, since prices never changed. So we've never tested it."

The candidate did not prioritize levers by impact or commit to an action, and raised risks only when prompted.

"Hmm. Maybe prices? But I'm honestly not sure."

"Hmm. I'm not sure. Sorry."

Missed opportunities

Turn 41: choosing among price, suppliers, menu mix, and waste.

A great answer: "Prices first. Inputs rose about 38% and prices haven't moved in two years, so pricing is the largest and fastest lever. Waste and mix are incremental. The risk is traffic loss, so I'd go selective, raising specialty drinks where demand is stickiest, and pair it with supplier contracts across beans, dairy, and packaging."

Creativity & Brainstorming

needs work

What went well

The ideas were relevant and anchored to the findings: pricing because prices were flat, and procurement because inputs rose.

| *"Um... maybe raise prices, since they haven't moved in two years. Or try to negotiate with suppliers."*

What needs work

The brainstorm was short, conventional, and unstructured, and dried up after two ideas until the interviewer supplied buckets.

| *"Hmm, I'm not sure what else."*

| *"Maybe change the menu mix toward higher-margin drinks? And... reduce waste, I guess."*

No non-obvious idea, and no prioritization when asked.

| *"I don't know. Sorry."*

Missed opportunities

Turn 30: 'what else could Brew & Bean do to reverse the margin decline?'

A great answer: "I'll split this into price, cost, and mix. Price: selective increases on specialty drinks, plus size or tiered pricing. Cost: multi-year bean contracts or hedging, and renegotiating dairy and packaging since those drove about 12 of the 16 points. Mix: push higher-margin items and bundles, and pilot a lower-cost blend in value-sensitive stores. I'd prioritize pricing, then procurement, because together they address the full input-cost increase."

Synthesis & Recommendation

needs work

What went well

When broken into parts, the candidate gave a crisp, evidence-backed statement of the root cause.

| *"The margin decline is driven by input costs rising across the board — COGS went from 42% to 58% of revenue while prices stayed flat."*

What needs work

The candidate never delivered a recommendation despite repeated scaffolding, including an offered sentence starter.

| *"But for the recommendation... I'm sorry, I really don't know."*

| *"I'm sorry — I don't know."*

The pieces of a recommendation (price test, transaction monitoring) were offered only tentatively under heavy prompting and never assembled.

| *"Maybe test a price increase in some stores? But honestly, I don't know. Sorry."*

Missed opportunities

Turn 56/58: the interviewer asks for the final recommendation, having noted the candidate already had most of it.

A great answer: "I recommend Brew & Bean raise menu prices selectively, starting with a controlled test in a subset of stores. Input costs rose about 38% across the board, adding 16 points of COGS, while prices haven't moved in two years. Alongside that, renegotiate supply contracts across beans, dairy, and packaging, not just beans. The key risk is traffic loss, so we'd track transactions in test vs. control stores for 6–8 weeks before rolling out chain-wide."

Communication & Delivery

needs work

What needs work

When the candidate did produce analysis, the narration was clear and easy to follow, but frequent apologies, hedging, and requests for validation undercut otherwise sound points and weakened the candidate's presence as a leader.

| *"Sorry, that's pretty broad. Am I on the right track?"*

| *"Sorry, I'm not sure if that's the right read."*

| *"The other 75% of COGS is about 31.5% of revenue, up 37.5%, so roughly 11.8 points. Together about 16 points, which matches the move."*

The candidate gave many non-answers, never led with a conclusion, and used little signposting or hypothesis language.

| *"I'm sorry, I really don't know."*

| *"I'm sorry — I just don't know."*

Missed opportunities

Turn 28: after completing the bean decomposition.

A great answer: "Bottom line: this is broad input inflation, not a bean problem. Beans explain about 4 points and other inputs about 12. With prices flat for two years, my hypothesis is that pricing is the main fix, and I'd like to test that next."

Pushback, Composure & Case Leadership

needs work

What needs work

The candidate was largely passive and waited to be led, repeatedly saying 'I don't know' rather than proposing a next step, even when given a sentence starter.

| *"I'm sorry, I don't know."*

| *"I'm sorry — I don't know."*

Challenged on the 5% transaction figure and the price-sensitivity read, the candidate updated both with explicit reasoning. When asked whether the dollar figure was the right margin impact, however, the candidate repeated it without re-checking the arithmetic, so the order-of-magnitude error survived.

| *"Um, I think it's the margin problem? 16% of \$480M, so \$7.68M of cost that wasn't there before."*

| *"Um, I just subtracted — 15 minus 10 is 5. I think it should really be dividing, like 1.15 over 1.10, but that's close to 5% anyway."*

| *"And no, I guess growing traffic doesn't actually tell us about price sensitivity, since prices never changed. So we've never tested it."*

The candidate needed heavy interviewer assists (narrowed questions, supplied figures, multiple-choice framing) to move through the exhibit and the synthesis.

| *"I'm stuck, sorry. Can you point me where to start?"*

Missed opportunities

Turn 19/21: the interviewer probes whether $16 \text{ points} \times \480M captures the margin impact.

A great answer: "Yes, I'd hold that framing. Margin points times current revenue isolates the margin impact, because cost that scaled with revenue is already netted out by using percentages. Let me re-check the arithmetic: 16% of \$480M is \$76.8M, not \$7.68M. So it's about \$77M a year."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume $\times$ price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:50

Okay, so... I'd want to look at three big areas. First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe external stuff, like competitors or the market overall.

Sorry, that's pretty broad. Am I on the right track?

Interviewer · 1:52

I can't tell you that mid-case. Pick the branch you'd prioritize first, and why?

Candidate · 2:13

Can I ask first — when you say revenue grew 15%, is that total chain revenue or per store?

Interviewer · 2:15

Since the question is whether the 15% is total or per store, I'll give you the store count and the total revenue so you can work it out. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Total revenue is \$480M a year. On the data you asked for — I'll come to that shortly.

Candidate · 2:35

Okay, got it. And is the 6% margin net profit, or operating profit before taxes?

Interviewer · 2:36

The case gives it as net profit margin, so treat the 6% as net. Which branch would you prioritize first, and why?

Candidate · 2:53

Do we know if the price per cup changed over the two years?

Interviewer · 2:56

Release it. Menu prices have not changed in two years. Average revenue per store is \$2.4M a year.

Candidate · 3:15

And do we have the cost breakdown — like what the main cost lines are?

Interviewer · 3:17

I'll show you the exhibit with the cost structure over time.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:41

hmm, okay. So COGS went up and the others kind of stayed flat.

I'm... not totally sure what to do with that, sorry.

Interviewer · 3:43

Walk me through it with the figures: how much did COGS move as a share of revenue, and how does that compare to the total margin drop?

Candidate · 3:58

I'm stuck, sorry. Can you point me where to start?

Interviewer · 4:00

Take your time. The question on the table is how the change in COGS compares to the total drop in margin.

Candidate · 4:14

I don't really know where to start. Sorry.

Interviewer · 4:16

I won't point you, but I'll narrow it. COGS was 42% of revenue two years ago and is 58% today. How many points is that, and how does it compare to the margin falling from 24% to 6%?

Candidate · 4:46

Okay. 58 minus 42 is 16 points. And margin fell 24 to 6, which is 18 points. So COGS explains most of it.

In dollars, 16% of \$480M... that's \$7.68M of extra cost.

Interviewer · 4:48

Your 16 points and 18 points hold up against the figures. On the dollars, is the \$7.68M the margin problem, or does it include cost that would have scaled with revenue growth anyway?

Candidate · 5:18

Um, I think it's the margin problem? 16% of \$480M, so \$7.68M of cost that wasn't there before.

god I'm so bad at this. Am I on the right track at all?

Interviewer · 5:20

I can't grade you mid-case. Two years ago COGS was 42% of a smaller revenue base, so does applying 16 points to today's \$480M capture the full margin impact? Walk me through it.

Candidate · 5:45

I still get \$7.68M. 16% of \$480M.

Honestly I'm going to bomb every interview I do. I don't really know why I'm even doing this.

Interviewer · 5:45

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 6:02

I'm okay, really — I'd rather just keep going. Thank you though.

Interviewer · 6:05

Okay. Your 16 points applied to today's revenue is a legitimate way to size the margin impact. Now, COGS is the cost line that moved, and prices didn't change. What would you want to know next to understand why it rose?

Candidate · 6:41

I'd want a split of the COGS line — like how much is coffee beans versus milk versus cups and packaging, and whether any one input's price spiked. Also maybe whether waste or spoilage went up.

Do we have that breakdown?

Interviewer · 6:44

I'll release the bean share, bean price change, and other input changes. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 7:42

Okay. So beans were 25% of COGS, and COGS was 42% of revenue. So beans were about 10.5% of revenue, up 40%, so that's about 4.2 points.

The other 75% of COGS is about 31.5% of revenue, up 37.5%, so roughly 11.8 points. Together about 16 points, which matches the move.

So it's basically all input costs across the board, not just beans.

Hmm, I'm not sure what that means for them though.

Interviewer · 7:45

Okay. Input costs are up broadly and menu prices haven't moved. Beyond what we've discussed, what else could Brew & Bean do to reverse the margin decline?

Candidate · 8:09

Um... maybe raise prices, since they haven't moved in two years. Or try to negotiate with suppliers.

Hmm, I'm not sure what else.

Interviewer · 8:11

Those are two. Think about the cost side, the revenue side, and the customer. What else could they try?

Candidate · 8:32

Maybe change the menu mix toward higher-margin drinks? And... reduce waste, I guess.

Sorry, I'm kind of blanking.

Interviewer · 8:35

Okay. Of everything you've listed, which would you put in front of the CEO first, and what's your overall recommendation?

Candidate · 8:46

I don't know. Sorry.

Interviewer · 8:49

Take a minute. You've established that input costs rose across the board and prices haven't moved. What's the one action you'd start with, and why?

Interviewer · 9:51

Still with me? Take your time. The question on the table: what's the one action you'd start with, and why?

Candidate · 10:22

I'm sorry, I really don't know.

Interviewer · 10:24

Start from what you found: input costs rose across the board, and menu prices haven't moved in two years. If you had to pick one lever from your own list, which would it be?

Candidate · 10:38

I'm sorry — I just don't know.

Interviewer · 10:40

Let's try it smaller. Of the four ideas you gave: raising prices, supplier negotiation, shifting menu mix, or cutting waste, which one would you want to test first?

Candidate · 10:54

Hmm. Maybe prices? But I'm honestly not sure.

Interviewer · 10:56

Okay, prices. You haven't seen customer data yet, so what would you want to know before the CEO could act on a price increase?

Candidate · 11:26

Um... I guess how customers would react. Like whether they'd stop coming if prices went up.

Maybe transaction volume, to see if traffic's already changing?

Sorry, I don't know if that's enough.

Interviewer · 11:28

Transaction volume is a reasonable thing to ask for. The average ticket is the closest figure I have. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 12:10

Okay — if ticket is up 10% but prices didn't change, that's customers buying more per visit. And revenue is up 15%, so transactions are up maybe 5%.

So traffic's still growing, which... maybe means customers aren't that price-sensitive right now?

Sorry, I'm not sure if that's the right read.

Interviewer · 12:12

Walk me through the 5%: how do you get from a 10% ticket increase and 15% revenue growth to that transaction figure? And is growing traffic enough to say customers aren't price-sensitive, given prices haven't moved?

Candidate · 13:00

Um, I just subtracted — 15 minus 10 is 5. I think it should really be dividing, like 1.15 over 1.10, but that's close to 5% anyway.

And no, I guess growing traffic doesn't actually tell us about price sensitivity, since prices never changed. So we've never tested it.

Sorry, I don't know what that means we should do.

Interviewer · 13:02

Okay. You've said traffic doesn't tell you about price sensitivity, and the price has never been tested. Put that together with the cost findings: what do you recommend to the CEO, and how would you roll it out?

Candidate · 13:14

I'm sorry, I don't know.

Interviewer · 13:17

Try it in three parts: the problem, your first action, and how you'd test it. Start with one sentence on what's driving the margin decline.

Candidate · 13:49

The margin decline is driven by input costs rising across the board — COGS went from 42% to 58% of revenue while prices stayed flat.

But for the recommendation... I'm sorry, I really don't know.

Interviewer · 13:50

That's the first part. Now the action: given prices never moved and customers have never been tested, what would you do first, and how would you check that it works?

Candidate · 14:08

Maybe test a price increase in some stores? But honestly, I don't know. Sorry.

Interviewer · 14:13

Okay, a price test in some stores. How would you set that test up so the CEO could trust the result?

Candidate · 14:45

Um, pick a set of stores and raise prices there, and compare to stores that didn't. See if transactions drop.

I don't really know how many stores or how much of an increase though. Sorry.

Interviewer · 14:49

Understood. Pulling it together, what's your final recommendation to the CEO, in a few sentences?

Candidate · 15:01

I'm sorry — I don't know.

Interviewer · 15:05

You've already given most of it: input costs drove the decline, prices never moved, and you'd test a price increase in some stores against others. Say it back to me as a recommendation to the CEO, and add one other lever you'd pursue alongside it.

Candidate · 15:17

I'm sorry, I really don't know.

Interviewer · 15:20

Okay. In one or two sentences, start with "I recommend" and use your own words from earlier.

Candidate · 15:33

I'm sorry — I don't know.

Interviewer · 15:36

What's the biggest risk to that recommendation, and how would you test for it?

Candidate · 15:48

Hmm. I'm not sure. Sorry.

Interviewer · 15:51

Okay. Customers leaving after a price increase is one risk you've already raised. What would you watch in the test stores to catch that early?

Candidate · 16:10

Transactions, I guess. If traffic drops in the test stores.

Sorry, I don't know what else.

Interviewer · 16:12

That's time. Thanks for working through it — your written report will follow.